

## DESIGNATION OF BENEFICIARIES

Beneficiaries are persons named to receive the proceeds of an insurance contract. Beneficiaries may be designated according to the following:

- **Revocable** – applicant can exercise any and all other rights and privileges under the policy while in force without the consent of the beneficiaries.
- **Irrevocable** – the consent of the irrevocable beneficiary is required before the owner can exercise any and all other rights and privileges under the policy while in force.
  
- **Primary** – named to receive the proceeds first on the death of the insured.
- **Secondary / Contingent** – named to receive the death benefit if the primary beneficiaries did not survive the insured.

Any person may be designated as beneficiary to a life insurance contract provided he has insurable interest in the life of the Insured. In general, the following are acceptable as beneficiaries by PRU LIFE UK

- The **legal spouse** ( common – law spouses are not acceptable)
- **Children**, whether natural or legally adopted
- **Parents**
- **Brothers and Sisters**
- **Grandparents** taking out life insurance on the life of their grandchildren provided either parent of the child have countersigned the application form and Non-medical Questionnaire for Minors (Ages 0-17).
- **Creditors** – to indemnify him should the insured – debtor dies before the loan is fully paid. The amount of insurance, however, must bear a reasonable relation to the amount of debt, and it must appear that the debtor will be able to repay had he lived.
- **Business partners** – where the death of a partner could mean a serious financial loss to the surviving partner. Under the principle of reciprocity, both partners must apply for an insurance coverage.
- **Company or Corporation** – if key persons are being insured. Key persons are officials of the company who are difficult to replace. The company is required to submit its *Articles of Incorporation* to determine its existence, its financial capability, and a board resolution to establish its authority to purchase insurance for its key persons.
- **Fiancé / Fiancée** – if the applicant and intimate beneficiary are both single and there is no impediment in their subsequent marriage. Designation must be *revocable and the address* of the fiancé / fiancée beneficiary must be stated.

**Aunt, uncle, niece or nephew** as beneficiaries must be justified by the proposed life insured and such justification is acceptable to Prulife UK. **Cousins do not qualify as beneficiaries by reason of relationship alone.** Also, persons who are forbidden by law to receive donations from the insured are likewise disqualified from being designated as beneficiaries. They are:

- Those persons with whom the insured is guilty of adultery or concubinage at the time of their designation
- Those persons with whom the insured is guilty of the same criminal offense, in consideration thereof
- Public officials, his or her spouse, descendants or ascendants, by reason of his office